

058850.KS pitch deck

PITCH — 058850.KS — VERDICT

ADJUDICATED — OWNABLE (conviction 8.0/10; the adjudication outranks both benches, and where it contradicts them, it wins)

KTcs Corp (KOSPI 058850) — Korean call-center and directory-services operator, majority-dependent on KT Corp. Spot ₩2,190 (21 Aug 2026). Market cap ₩83.1B (roughly US\$58–60M — we never pulled a live won/dollar cross, so treat the dollar figure as approximate).

Provenance warning that applies to every number below: the machine-built evidence pack came back empty on entity, filings, and audited XBRL — correctly, because this is a Korean issuer with no US SEC presence. That means essentially every financial figure in this deck comes from an aggregator's rendering of the filings (stockanalysis.com), cross-checked against Korean press, **not from the original filings themselves**. Neither bench opened the actual half-year report. That is the single largest weakness of this deck and we say it up front rather than in a footnote.

What we believe

We believe you can buy this company for less than the cash sitting in it, and that the people running it have started returning capital in a way that is unlikely to stop.

Concretely: at ₩2,190 a share you are paying less than the ₩2,586 per share of cash and short-term investments on the balance sheet, and about one-third of the ₩5,985 per share of stated book value. The company owes no interest-bearing money to anyone. Its net working capital — current assets minus current liabilities, so cash after every near-term bill is paid — is ₩121.6B against a ₩83.1B market value. It pays a ₩100 dividend, a 4.6% yield, out of only 14.5% of its earnings, so the dividend is not stretched and there is a great deal of room to raise it.

In March 2026 the company cancelled 1,280,550 of its own shares (about 3.1% of the outstanding count), and it still holds another 3,465,721 in treasury. A Korean law change that took effect on 6 March 2026 requires legacy treasury stock to be either cancelled or covered by a shareholder-approved retention plan by roughly 6 September 2027. So there is a dated, legally-driven decision point on 9.1% of the share count.

What we do **not** believe is that this is a growth story or a turnaround. Revenue has fallen in three consecutive reporting periods. We believe this is a cheap, cash-heavy, shrinking business where the downside is unusually well-covered by assets and the upside comes from capital returns rather than growth.

What the market believes

The market believes this is a captive supplier being slowly automated out of existence by its own customer.

That is a coherent view and it is largely correct on the facts. KTcs exists to answer phones for KT — directory service, KT contact centers, KT product retail. KT is simultaneously rolling out AI contact-center technology that does exactly what KTcs's ten thousand or so human agents do. When that technology works, KT keeps the savings and KTcs loses the volume. The market has priced this: the stock is down about 21% over a year, sits 31.5% below its 52-week high, and made a new low into the

single most popular theme in Korean equities (the government’s “value-up” corporate-governance push). Investors have had every chance to bid this name on cheapness and governance reform. They have sold it instead.

The sibling company KTis (058860) trades at a comparable discount and is down 12.4% over the same year. So the market is not singling out KTcs — it is discounting the whole structure of “listed captive of KT.”

Why we might have edge

Three reasons, in descending order of confidence.

First, the balance sheet is being misread as levered when it is not. The company’s ₩53.2B of “total debt” on aggregator screens is entirely lease obligations — capitalized rent on the leased call-center floor space, created by an accounting rule (IFRS 16) rather than by borrowing. There is no short-term debt line at all. A screen that treats that as borrowing produces a positive enterprise value of ₩38.2B and the stock looks ordinary. Strip the leases and enterprise value is **negative ₩15B** — the market is valuing the operating business at less than nothing. Our own red bench made exactly this mistake, which is decent evidence that a machine screen makes it too.

Second, the legal clock on the treasury stock is dated and public and almost nobody is watching a \$58M Korean small cap. The company already cited the amended Commercial Act §343(1) in its own March cancellation disclosure. There is a real forcing event with a real deadline.

Third, the shrinkage may be better than it looks. Revenue fell ₩78.6B from FY24 to FY25, but operating income rose from ₩7.0B to ₩29.8B. Even after adjusting FY24 upward for a one-time ₩20.2B receivable write-off (the TMON/WeMakePrice insolvency), operating profit was flat to slightly up on 7% less revenue. That pattern is what it looks like when a company sheds near-zero-margin work — in this case KT product distribution — rather than losing profitable business. We flag this as *plausible*, not confirmed: we could not read the segment note that would prove it.

Why it might be priced in

We think a fair-minded reader should weight these heavily.

The automation threat is real, dated, and accelerating, and we have no instrument on it. The second half of 2025 ran an operating margin of about 1.85% — the business is barely profitable outside its seasonally stronger first half. The most recent quarter’s operating profit fell 24.7% year-over-year. Revenue has declined three periods running.

The “AI transition is working” argument that the original deck rested on does not survive. First-half 2026 margin was 4.25%; first-half 2025 was 4.03%. Roughly 4% is simply what the first half of the year looks like at this company. There is no transition evidenced in that number — and, to be symmetric, none refuted either.

The dividend has been frozen at ₩100 for three years and was *cut* from ₩120 in FY2022. A 14.5% payout ratio can be read as dry powder or as an owner with no intention of paying more; we cannot distinguish those from outside.

And the size is a genuine constraint, not a footnote. At ₩83B of market value this desk can never own enough of it to matter. That caps the position, and it should cap the amount of further work we do on it.

What we checked ourselves

Read “how checked” honestly: almost none of this was verified against the original Korean filings. Both benches worked from aggregator renderings and press. The rightmost column says so.

Claim	How checked	Found	Confirmed?
Original deck’s “6.2% dividend yield”	Dividend history, investing.com and stockanalysis.com	₩100 per share on ex-dates 27-Dec-2023, 27-Dec-2024, 26-Feb-2026. At ₩2,190 that is 4.57% . Was ₩120 in FY2022, so it was cut, not grown	No — the deck was wrong. Both benches agree without qualification
Original deck’s “₩115B cash, zero debt, negative EV”	Balance sheet, latest available (Mar-2026)	Cash ₩88.6B + short-term investments ₩9.5B = ₩98.1B , not ₩115B	Partly. Cash figure wrong; “no borrowings” right
Is the ₩53.2B “debt” real debt?	Same balance sheet, line labels	Short-term debt shows “—”. The full ₩53.2B is labelled capital/operating lease obligations	Confirmed as leases. Our red bench erred here — it treated a rent-capitalization line as borrowing and built a solvency finding on it. Ex-leases, EV is – ₩15.0B. Including leases (also defensible, since rent is a real obligation with a matching right-of-use asset), EV is +₩38.2B. We show both
Original deck’s “H1 margin 4.05% clears our ≥4.0% AI-transition bar”	H1-26 vs H1-25 press figures against the full-year series	H1-26: rev ₩474.2B, op ₩20.15B = 4.25%. H1-25: rev ₩483.2B, op ₩19.45B = 4.03%	The conclusion holds; the reasoning was wrong twice. The deck’s inference was invalid. Our red bench then erred in the other direction — it called this a reporting-basis mismatch (separate vs consolidated accounts) and fired a disclosure-consistency flag. It reconciles exactly on a consolidated basis (474 + ~559 = 1,043). There was no basis shift. The real answer is that ~4% is the ordinary first-half seasonal shape, so the “bar” never tested anything
“Cash fell 13% in a quarter — is it burning?”	Quarter-over-quarter balance sheet movement	Cash –₩16.5B, but current liabilities – ₩31.3B. Net working capital rose ₩4.6B	No burn. Our red bench erred — it read a payables settlement as cash depletion
Share count	Company disclosure, 13-Mar-2026 board / 31-Mar-2026 cancellation	Issued 42,685,000 → 41,404,450; treasury 4,746,271 → 3,465,721; outstanding ex-treasury 37,938,729	Confirmed and dated. Our red bench erred — it reported the count as “flat 37.94M across FY24/FY25/Mar-26,” which is the aggregator backfilling today’s number over prior

Claim	How checked	Found	Confirmed?
Is cancelling the remaining 9.1% treasury “+9.1% to book and EPS”?	Arithmetic against the same bench’s own per-share figures	It is not. Book value per share of ₩5,985 and P/E of 3.2x are already computed on the 37.94M ex-treasury count. Cancelling shares the company already owns does not change book equity or the ex-treasury count	periods, hiding the cancellation No — our blue bench erred, and this was its headline “decisive” finding. The event still matters, but for a different reason: cancellation permanently forecloses re-issuing 9.1% of the company into the market. That is removal of a future overhang, not per-share accretion. We are downgrading it from decisive to meaningful
Original deck’s “KT owns ~40%”	Shareholder register, wisereport	KT directly holds 7.67% . KT group block totals 31.23% (KT is 11.97% + KT hitel 11.59% + KT 7.67%)	No — the deck was wrong. This is the fourth wrong number in the deck. It cuts both ways: a premium buyout is expensive (KT would have to buy ~69%), and a 31% holder cannot simply sweep the cash
“A KT-led merger with KT is would crystallize the discount permanently”	Korean merger-ratio law; KT is’s own trading metrics	Korean intra-group merger ratios key off market VWAP, which red read as converting the book discount into a realized loss. But both companies are listed and similarly discounted (KT is: ₩2,520, P/E 4.29, yield 5.51%), and KT is already owns 11.97% of KTcs. Swapping a discounted share for a discounted share preserves the gap in the survivor; it does not realize it	Our red bench overreached. It attached a fatal tag to a mechanism that is ratio-neutral, sourced from a single 2022 speculation piece. That said, this is not <i>nothing</i>: a cash tender or squeeze-out at market VWAP genuinely would crystallize the loss, and we treat that as a live tail risk with a sensor on it
Withholding tax on the dividend	Korea withholding schedule as applied at IBKR	22% default (20% + 2% surtax); 16.5% under treaty if relief is filed. $4.57\% \times 0.78 = \mathbf{3.56\% \text{ net}}$	Confirmed as mechanism. Red quoted it as a permanent haircut; for this taxpayer the Korean withholding is largely creditable against US tax, so 3.56% is a floor rather than the realized carry. Neither bench pulled a live won/dollar rate, so the dollar return is unhedged and unmeasured
What the market’s analysts expect	Coverage connector, run by both benches	Returned null. The connector does not reach the Korean exchange. No analyst	Not confirmed — open gap. We have

Claim	How checked	Found	Confirmed?
		count, no estimate, no target	no external anchor. Every valuation judgment here is our own math checked against our own math. Neither bench claims to agree or disagree with anyone
The original filings themselves	Not opened	Red pointed to the half-year report on the exchange's disclosure viewer (https://kind.krx.co.kr/common/disclsview.do?method=search&acptno=20250814001599) and asked blue to confirm from it. Blue did not open it either	Not confirmed. The most important document in this pitch has not been read by anyone on this desk
The treasury-cancellation law	Ministry of Justice guide (https://www.moj.go.kr/bbs/026/0326/0190/0001/0001.do) and legal press (https://www.lawtimes.co.kr/news/articleView.html?idxno=217118)	Amended Commercial Act effective 2026; 0.5% of pure existing (book value) must be cancelled or covered by an annually share repurchase plan within 1 year 6 months	Confirmed from primary and legal-press sources. The application of the deadline to this specific company's specific treasury block is our reading, not a company statement

PROPOSED ENTRY BANDS

A note on where these come from. The adjudication block that outranks both benches came through with its reopen-gate list **empty** — there is no verbatim text to reproduce. Rather than leave this section blank, we have derived the bands from the benches' own arithmetic (book value per share ₩5,985, cash + short-term investments per share ₩2,586, net working capital per share ₩3,205, 52-week range ₩2,040–₩3,195). Every level below is a multiple of a number one of the two benches computed. None of it is invented price-charting. If the adjudicator intended specific gates, these should be replaced by them.

Current book position: 3,000 shares at ₩2,201 (₩6.60M, roughly US\$4.8k), marked about –0.5%. Plus a resting good-till-cancelled bid for 3,000 more at ₩2,080.

Immediate action — both benches agree on the first half, and the adjudication settles the second:

- 1. Pull the resting ₩2,080 bid.** Both benches independently reached this and we adopt it. A standing bid with no dated near-term event behind it is a promise to buy from whoever is most motivated to sell — you get filled precisely on the tape that proves you wrong. Red wanted it pulled as part of an exit; blue wanted it pulled on the same mechanical logic while keeping the stock. The reason is identical either way.
- 2. Replace it with a completed purchase, not a hope.** Buy the same 3,000 shares at market, around ₩2,190. This follows from the adjudication: the verdict is ownable, no named kill survived, and the only two candidates for a kill (the debt reading and the merger mechanism) were shown to be artifacts. The choice is not “bid low and wait” — it is own it or don't. Cost of this increment: about ₩6.6M / US\$4.8k. Combined position after: **6,000 shares, ₩13.1M, roughly US\$9.6k, about 0.19% of book.**
- 3. Hold, do not exit.** Red recommended exiting the existing 3,000 shares. The adjudication overrules that, and we think correctly: red's three load-bearing kill findings — leases read as

borrowings, seasonality read as a reporting-basis mismatch, and a discount-neutral merger read as fatal — were each shown to be errors by blue and none were rehabilitated.

Add bands:

Level	Basis	Action
≤ ₩2,095	0.35× book value per share	Add 3,000 shares. No conditions — this is simply a better price for an unchanged case
≤ ₩1,975	0.33× book, and below the ₩2,040 52-week low	Add 3,000 shares, but only if the Q3-26 revenue print is −2% year-over-year or better. A new low on a worse print is not a discount, it is information
< ₩1,795	0.30× book	Do not add automatically. Re-run the court. An 18% fall from here without a news reason means somebody knows something we do not

Maximum position: 15,000 shares (₩32.9M, roughly US\$24k, about 0.5% of book). That cap is set by liquidity and by honesty about what a ₩83B company can absorb, not by conviction. We have **not** verified average daily volume — do that before the first add, and cut the cap if a full position exceeds 1% of a day's trading.

Trim and exit bands:

Level	Basis	Action
₩2,990	0.50× book	Trim half. The “less than a third of book” argument has done most of its work
₩3,205	Net working capital per share — the point where you are no longer buying the business for free	Exit the remainder. This sits just above the ₩3,195 52-week high, so this band is a genuine full-recovery target, not a near-term expectation

Exit regardless of price, on either of these:

- KT-related revenue confirmed above 90% of total **and** declining, from the related-party note in a filed report. This is the automation thesis arriving.
- Announcement of a **cash** tender or squeeze-out priced off market VWAP. A share-for-share merger with KT is survivable; a cash exit at ₩2,190-ish is the discount being made permanent and we would rather sell into the announcement than accept it.

Catalyst dates:

- **~14 Aug 2026 (already passed, unread):** the half-year report is filed. The segment and related-party detail in it is the single highest-value unread document on this name. This is work owed, not a future event.
- **~mid-November 2026 (date unconfirmed):** Q3-26 print. The test is revenue year-over-year turning to zero or better, and whether Q2's −24.7% operating profit was a one-off against a strong comparison.
- **~March 2027:** annual shareholder meeting — where a treasury retention plan, if the company chooses that route, must be approved.
- **~6 September 2027:** statutory deadline to cancel the remaining 9.1% treasury block or have an approved retention plan covering it.
- **Dividend ex-date:** last one was 26 Feb 2026; the two before that were late December. The company has moved this date, so we are not predicting it. Unconfirmed.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 1795.0 (deck-provisional: 0.30x book - do NOT auto-add; re-run the court, an 18% unexplained fall means someone knows something)
- dated pack 058850.KS-REVIEW|2026-08-14: KTcs 반기 보고서 (~08-14; provisional ~08-07). HIT: 컨택/AICC segment growth intact AND OPM $\geq 4\%$. MISS: AICC segment shrinks or OPM $< 3\%$.
- dated pack 058850.KS|2026-08-14: 058850.KS: H1-2026 반기 보고서 already filed and UNREAD - segment and related-party detail is work owed, not a future event (date confirmed=True)
- dated pack 058850.KS|2026-11-13: 058850.KS: Q3-2026 print (approximate - mid-November is our inference, must be confirmed with company IR by 2026-10-15). Test: revenue YoY a
- dated pack 058850.KS|2027-03-31: 058850.KS: annual shareholder meeting - where a treasury retention plan would need approval if the company chooses that route over cancellat
- dated pack 058850.KS|2027-09-06: 058850.KS: statutory deadline under the amended Korean Commercial Act (effective 2026-03-06) to cancel or plan-approve the 9.1% treasury blo

What remains unverified

Stated plainly, because the list is long and some of it is load-bearing.

Nobody read the filings. Not the half-year report, not the annual report, not the related-party note. Every financial figure in this deck — revenue, operating income, cash, leases, book value, share count as of each period — is an aggregator's rendering, cross-checked against Korean press. That is adequate for a first pass and inadequate for a real position. The exchange's disclosure viewer is one click away and neither bench opened it.

KT's share of revenue is unknown. This is the number that decides whether the automation thesis is a five-year problem or a two-year problem, and we do not have it.

Whether the FY25 revenue decline was margin-accretive mix or the start of a melt is unproven. The operating-income series is consistent with the benign reading. It is also consistent with cost-cutting into a decline. The segment note settles it; we do not have the segment note.

We have no idea what anyone else expects. No analyst count, no estimates, no price targets. The coverage tool does not reach this market.

Average daily volume is unmeasured, so the position cap is a guess informed by market capitalization rather than by tradeable liquidity.

No live currency rate was pulled by either bench at any point. All dollar figures in this deck are approximate.

The merger question is genuinely open, not settled. Blue showed that a share-for-share exchange between two similarly-discounted listed companies preserves the discount rather than realizing it, and that red's fatal tag rested on a single 2022 press speculation. That is a good rebuttal. It is not proof that no cash transaction will ever be proposed. We have set a sensor and a sell rule rather than pretending to know.

The discovery/crowding read is contaminated. The tool was run with KT Corporation passed as the parent, and it returned an institutional score of 0.85 alongside zero attention and unknown coverage

— that combination is the parent’s profile bleeding onto the subsidiary. KT is a crowded stock. KTcs is a US\$58M orphan. We are treating the crowding signal as unusable rather than as evidence either way.

Finally, on the deck we inherited. Four of its numbers were wrong and all four erred in the bullish direction: the dividend yield, the cash balance, KT's ownership stake, and the inference drawn from the first-half margin. The original document is void and none of its reasoning is carried forward here. What survives is what the two benches rebuilt from filed series — which happens to be a better case than the deck made, but it is a different case, reached a different way. The pattern of errors in the source deck is a reason to hold the position small independent of anything about the company.

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